

IN A TIGHT SPOT A pensive Kishore Biyani

RACHIT GOSWAMI

THE RISE AND FALL

The fall after the rise of Biyani's business empire follows a familiar pattern of first-generation entrepreneurs in the 1980s and '90s who fuelled their ambition with generous bank credit, but ended up sitting on colossal debt piles while tremors in the traditional business environment choked their cash flows. After dabbling in his family's fabric trading business in Mumbai, Biyani ventured into making fashionable fabric in 1983. The Manz Wear brand launched in 1987 was later to become garment retailer Pantaloons. In 1992, he listed Pantaloon Retail on the stock market to fund his expansion plans. In 2012, as the debt pile kept mounting, he sold his majority stake in Pantaloon Retail to Aditya Birla Nuvo for Rs 1,600 crore. After a decade's high growth spree, the Future Group, as it came to be called by then, began to slow down post-2010. The rise of e-tailers such as Amazon and Flipkart, among others, on the back of convenience and discounts, posed a big threat. So did the growth of rival Reliance Retail. To take this rivalry head-on, Biyani kept expanding his stores, taking the number to 1,800 across formats—apparel, lifestyle and groceries—and flush with funds from banks, acquired as many as six companies to augment his reach. While overall sales stood at Rs 26,000 crore, debt was spiralling out of control at Rs 13,000 crore. The final blow came in the form of the pandemic, halting his business and pushing him closer to defaulting on his loans. The absence of an e-commerce play closed all doors on his business as he neared the end-game.

Biyani's deal with Reliance Retail for selling off his business during the pandemic was widely touted as a win-win for both. Reliance found in Future Group the perfect platform for a retail play. However, e-tail giant Amazon threw a spanner in the works. In 2019, Amazon had acquired 49 per cent of Future Coupons, a promoter group entity of Future Retail for around Rs 2,000 crore. The deal would help place Future Retail's products on Amazon's online market, and also gave Amazon a 'call' option—it could acquire all or part of Future Coupon's promoter, Future Retail's shareholding in the company, within three to 10 years of

WHAT WENT WRONG

- ***FRANTIC SCALING-UP THAT PROVED TO BE A MONEY GUZZLER***
- ***TOO MUCH DEPENDENCY ON MONEY BORROWED FROM BANKS***
- ***ENTRY INTO NON-CORE AREAS LIKE FILM PRODUCTION***
- ***FAILURE TO LEVERAGE E-COMMERCE***
- ***BITTER COURT BATTLE WITH AMAZON OVER RELIANCE RETAIL PACT***